

Haidilao International Holding (6862.HK)

1H26 preview: Expect slower core business recovery while fast growing new business to dilute margins; Neutral

6862.HK

12m Price Target: HK\$12.20

Price: HK\$11.62

Upside: 5.0%

Haidilao is expected to release its 1H26 results in late Aug. **We expect +8.0%/+5.0% yoy sales/reported NP growth to Rmb 22,355mn/1,847mn in 1H26.** We lower our 1H26 forecasts to reflect: 1) lower growth of table turn growth in 1H26 at c.2% and ASP moderation of c.1% (vs our previous assumption of c.3% sales per store growth); 2) slower store expansion on the back of more store closures in 1H26; 3) lower NPM due to lower other gains reflecting potentially less gain from franchise business transfer and loss on foreign exchange while largely stable OPM. **For FY26**, we reduce revenue forecast by 2.6%, as we expect sales per store forecast to decline from c.+3% to c.-0.5% yoy for the core business considering the slower recovery in 1H26, fluid consumption/weather condition, and higher base especially into 4Q26. Although net store expansion has progressed more slowly than expected in 1H26, we assume openings to accelerate and closures to moderate in 2H26, leaving our end-2026 store count forecast broadly unchanged. We also lower NPM forecast given more margin dilution from new businesses, and lower other gains.

Into results, we expect investors to focus on: 1) Recent core business SSSG performance and 2H26 outlook in terms of both table turn and pricing strategy; 2) Core brand's store expansion strategy; 3) Updates on new business, including any operational bright spots and scaling plans; 4) Mid-term margin recovery trajectory; 5) Shareholder returns and capital allocation.

We view the recovery of Haidilao's core business will take longer than previously expected, while fast-growing new businesses will continue to dilute group margins before reaching meaningful scale. That said, we believe the company's attractive shareholder returns and Founder's share purchase should provide downside support for the share price. Overall, we lower our FY26-28E revenue forecasts by 2-4% and reported net profit forecasts by 7-15%, while we maintain payout ratio assumption at

NEUTRAL

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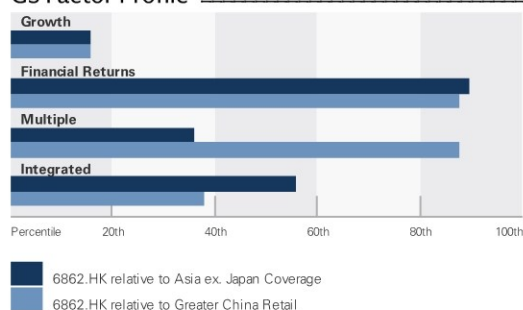
Key Data

Market cap: HK\$64.8bn / \$8.3bn
Enterprise value: HK\$58.6bn / \$7.5bn
3m ADTV: HK\$198.9mn / \$25.4mn
China
Greater China Retail
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (Rmb mn) New	43,225.4	45,658.3	48,102.2	50,662.2
Revenue (Rmb mn) Old	43,225.4	46,888.0	49,859.3	52,672.6
EBITDA (Rmb mn)	7,162.6	7,046.0	6,995.9	7,379.3
EPS (Rmb) New	0.75	0.72	0.74	0.76
EPS (Rmb) Old	0.75	0.78	0.84	0.89
P/E (X)	18.3	13.9	13.6	13.2
P/B (X)	7.6	5.3	5.1	4.8
Dividend yield (%)	4.8	6.3	6.5	6.7
CROCI (%)	16.1	21.0	29.6	28.9
	6/25	12/25	6/26E	12/26E
EPS (Rmb)	0.32	0.42	0.34	0.39

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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NEUTRAL

**Haidilao International Holding
(6862.HK)**

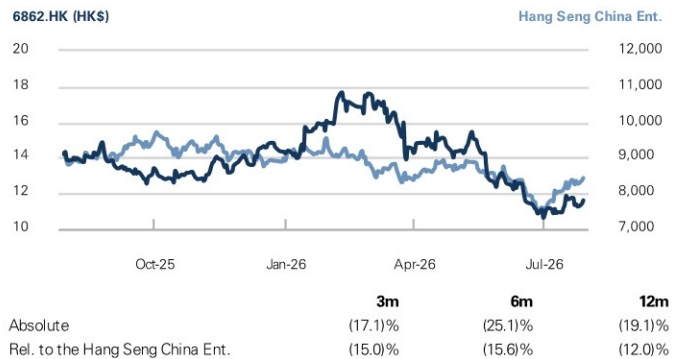
Rating since Jun 27, 2024

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	18.3	13.9	13.6	13.2
P/B (X)	7.6	5.3	5.1	4.8
FCF yield (%)	4.4	5.7	6.3	6.3
EV/EBITDAR (X)	9.6	7.2	7.2	6.9
EV/EBITDA (excl. leases) (X)	10.4	7.8	7.9	7.5
CROCI (%)	16.1	21.0	29.6	28.9
ROE (%)	39.6	39.2	38.2	37.5
Net debt/equity (%)	(55.4)	(50.9)	(48.5)	(45.7)
Net debt/equity (excl. leases) (%)	(90.5)	(78.3)	(74.7)	(70.9)
Interest cover (X)	91.9	94.9	95.8	99.2
Days inventory outst, sales	9.0	9.2	9.2	9.2
Receivable days	12.8	12.7	12.7	12.7
Days payable outstanding	85.9	85.3	86.2	86.1
DuPont ROE (%)	40.5	38.4	37.4	36.7
Turnover (X)	2.0	2.0	2.1	2.1
Leverage (X)	2.2	2.1	2.1	2.1
Gross cash invested (ex cash) (Rmb)	35,829.2	18,800.3	20,298.3	22,050.7
Average capital employed (Rmb)	4,046.4	5,148.2	6,059.1	6,606.9
BVPS (Rmb)	1.80	1.88	1.97	2.08

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	1.1	5.6	5.4	5.3
EBITDA growth	(14.9)	(1.6)	(0.7)	5.5
EPS growth	(14.0)	(3.7)	2.2	3.3
DPS growth	(20.3)	(3.7)	2.2	3.3
EBIT margin	11.5	11.2	10.7	10.5
EBITDA margin	16.6	15.4	14.5	14.6
Net income margin	9.4	8.8	8.5	8.4

Price Performance**Income Statement (Rmb mn)**

	12/25	12/26E	12/27E	12/28E
Total revenue	43,225.4	45,658.3	48,102.2	50,662.2
Cost of goods sold	(17,526.2)	(18,786.6)	(19,792.2)	(20,693.5)
SG&A	(6,645.6)	(6,792.6)	(6,874.9)	(7,288.9)
R&D	—	—	—	—
Other operating inc./exp.)	—	—	—	—
EBITDA	7,162.6	7,046.0	6,995.9	7,379.3
Depreciation & amortization	(2,182.1)	(1,935.5)	(1,840.1)	(2,043.6)
EBIT	4,980.6	5,110.5	5,155.9	5,335.7
Net interest inc./exp.)	21.8	19.6	(11.2)	(11.9)
Income/(loss) from associates	49.3	54.3	59.7	65.7
Pre-tax profit	5,811.7	5,567.2	5,687.9	5,875.6
Provision for taxes	(1,769.8)	(1,558.8)	(1,592.6)	(1,645.2)
Minority interest	7.9	8.1	8.1	8.4
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	4,049.8	4,016.5	4,103.4	4,238.8
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	4,049.8	4,016.5	4,103.4	4,238.8
EPS (basic, pre-exception) (Rmb)	0.75	0.72	0.74	0.76
EPS (diluted, pre-exception) (Rmb)	0.75	0.72	0.74	0.76
EPS (basic, post-exception) (Rmb)	0.75	0.72	0.74	0.76
EPS (diluted, post-exception) (Rmb)	0.75	0.72	0.74	0.76
DPS (Rmb)	0.66	0.63	0.65	0.67
Div. payout ratio (%)	87.9	87.9	87.9	87.9

Balance Sheet (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	7,942.1	7,075.7	7,094.2	7,069.1
Accounts receivable	1,503.7	1,672.9	1,673.7	1,851.0
Inventory	1,076.9	1,231.8	1,200.5	1,342.6
Other current assets	1,904.6	1,904.6	1,904.6	1,904.6
Total current assets	12,427.3	11,885.0	11,872.9	12,167.2
Net PP&E	6,379.0	7,092.1	7,778.3	8,265.1
Net intangibles	49.3	49.3	49.3	49.3
Total investments	173.1	173.1	173.1	173.1
Other long-term assets	3,061.6	3,077.4	3,105.9	3,142.6
Total assets	22,090.2	22,276.9	22,979.5	23,797.3
Accounts payable	4,208.2	4,573.0	4,780.8	4,983.5
Short-term debt	2,428.1	2,428.1	2,428.1	2,428.1
Short-term lease liabilities	856.8	856.8	860.5	867.9
Other current liabilities	1,830.9	1,841.6	1,798.2	1,825.2
Total current liabilities	9,324.0	9,699.5	9,867.6	10,104.7
Long-term debt	0.0	0.0	0.0	—
Long-term lease liabilities	2,649.7	2,013.0	2,021.7	2,039.0
Other long-term liabilities	111.4	111.4	111.4	111.4
Total long-term liabilities	2,761.1	2,124.4	2,133.1	2,150.4
Total liabilities	12,085.1	11,823.8	12,000.7	12,255.1
Preferred shares	—	—	—	—
Total common equity	10,013.9	10,469.9	11,003.9	11,575.6
Minority interest	(8.8)	(16.9)	(25.0)	(33.4)
Total liabilities & equity	22,090.2	22,276.9	22,979.5	23,797.3
Net debt, adjusted	(6,853.9)	(5,987.4)	(6,005.9)	(5,980.8)

Cash Flow (Rmb mn)

	12/25	12/26E	12/27E	12/28E
Net income	4,049.8	4,016.5	4,103.4	4,238.8
D&A add-back	2,182.1	1,935.5	1,840.1	2,043.6
Minority interest add-back	(7.9)	(8.1)	(8.1)	(8.4)
Net (inc)/dec working capital	77.8	40.7	238.4	(116.7)
Other operating cash flow	(637.6)	(188.1)	(158.9)	(158.7)
Cash flow from operations	5,664.2	5,796.5	6,014.9	5,998.6
Capital expenditures	(1,672.6)	(1,836.5)	(1,680.5)	(1,638.0)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	226.1	(445.5)	146.4	133.9
Cash flow from investing	(1,446.5)	(2,281.9)	(1,534.1)	(1,504.1)
Repayment of lease liabilities	(742.7)	(789.7)	(808.8)	(838.1)
Dividends paid (common & pref)	(4,133.3)	(3,560.5)	(3,569.4)	(3,667.1)
Inc/(dec) in debt	302.0	(30.8)	(84.1)	(14.4)
Other financing cash flows	(516.1)	0.0	0.0	0.0
Cash flow from financing	(5,090.2)	(4,381.0)	(4,462.3)	(4,519.6)
Total cash flow	(872.5)	(866.5)	18.5	(25.1)
Free cash flow	3,248.9	3,170.4	3,525.6	3,522.5

Source: Company data, Goldman Sachs Research estimates.

c.88% for FY26-28E, implying MSD-HSD% dividend yield. We maintain Neutral while lowering our target price to HK\$12.2 (from HK\$14.3), based on 9x EV/EBITDA (vs. 10x previously), reflecting weaker consumer sentiment and our reduced earnings outlook.

Relevant reports:

China Restaurants: Monthly Tracker: Jun update: weakness continued with weather headwind; FMD relatively resilient despite high base

Earnings forecasts

Sales: We expect 1H26 revenue to grow by c.8% YoY, driven by growth in delivery and other restaurant businesses, alongside steady table-turn improvement (c.2% on average in 1H26 based on our monthly tracker). This should be partially offset by store closures impact and c.1% decline in ASP based on our estimation. For FY26, we expect revenue to increase modestly by c.1% YoY, as we now project sales per store to decline c.0.5% YoY, given demand recovery remains slow and as base becomes more challenging in 2H26.

Margin: We expect NPM to modestly decline yoy in 1H26, due to savings from staff costs and depreciation expenses with efforts seen in 2H25, offset by GPM headwinds, higher expense ratios associated with new business expansion, and lower other gains. For FY26, we also expect NPM to decline slightly considering greater contribution from lower-margin new businesses, higher foreign-exchange losses, and fewer gains from franchise business transfers.

Exhibit 1: Earnings revisions

	2026E			2027E			2028E		
	New	Old	Change	New	Old	Change	New	Old	Change
Total Revenue	45,658	46,888	-2.6%	48,102	49,859	-3.5%	50,662	52,673	-3.8%
Raw materials and consumables used	(18,787)	(19,621)	-4.3%	(19,792)	(20,692)	-4.3%	(20,694)	(21,596)	-4.2%
Staff costs	(14,969)	(14,909)	0.4%	(16,279)	(16,045)	1.5%	(17,344)	(17,235)	0.6%
Property rentals and related expenses	(1,226)	(1,246)	-1.7%	(1,258)	(1,289)	-2.4%	(1,304)	(1,331)	-2.0%
Utilities expenses	(1,559)	(1,601)	-2.6%	(1,642)	(1,702)	-3.5%	(1,729)	(1,798)	-3.8%
Depreciation and amortization	(1,146)	(1,253)	-8.5%	(1,031)	(1,199)	-14.0%	(1,206)	(1,347)	-10.5%
Travelling and related expenses	(306)	(314)	-2.6%	(322)	(334)	-3.5%	(339)	(353)	-3.8%
Other expense	(2,557)	(2,462)	3.8%	(2,622)	(2,544)	3.1%	(2,710)	(2,635)	2.9%
Operating Profit	5,111	5,482	-6.8%	5,156	6,055	-14.8%	5,336	6,378	-16.3%
Adjusted EBITDA	6,099	6,576	-7.3%	6,029	7,094	-15.0%	6,381	7,563	-15.6%
Pre-Tax Profit - Reported	5,567	6,082	-8.5%	5,688	6,612	-14.0%	5,876	6,952	-15.5%
Income Tax Expense	(1,559)	(1,764)	-11.6%	(1,593)	(1,917)	-16.9%	(1,645)	(2,016)	-18.4%
Net Income - Reported	4,016	4,327	-7.2%	4,103	4,704	-12.8%	4,239	4,945	-14.3%
Net Income - Recurring (GS defined)	3,943	4,115	-4.2%	3,930	4,530	-13.3%	4,065	4,772	-14.8%
YoY %									
Revenue	5.6%	8.5%	-2.8ppt	5.4%	6.3%	-1.0ppt	5.3%	5.6%	-0.3ppt
Raw materials and consumables used	7.2%	12.0%	-4.8ppt	5.4%	5.5%	-0.1ppt	4.6%	4.4%	0.2ppt
Staff costs	6.4%	5.9%	0.4ppt	8.8%	7.6%	1.1ppt	6.5%	7.4%	-0.9ppt
Property rentals and related expenses*	4.6%	6.4%	-1.8ppt	2.6%	3.4%	-0.8ppt	3.7%	3.3%	0.4ppt
Utilities expenses	5.6%	8.5%	-2.8ppt	5.4%	6.3%	-1.0ppt	5.3%	5.6%	-0.3ppt
Depreciation and amortization*	-20.4%	-13.0%	-7.4ppt	-10.0%	-4.3%	-5.7ppt	16.9%	12.3%	4.6ppt
Travelling and related expenses	5.6%	8.5%	-2.8ppt	5.4%	6.3%	-1.0ppt	5.3%	5.6%	-0.3ppt
Other expense	12.6%	8.5%	4.2ppt	2.5%	3.3%	-0.8ppt	3.4%	3.6%	-0.2ppt
Operating Profit	2.6%	10.1%	-7.5ppt	0.9%	10.5%	-9.6ppt	3.5%	5.3%	-1.9ppt
Adjusted EBITDA	-2.2%	5.5%	-7.7ppt	-1.1%	7.9%	-9.0ppt	5.9%	6.6%	-0.8ppt
Net Income - Reported	-0.8%	6.8%	-7.7ppt	2.2%	8.7%	-6.6ppt	3.3%	5.1%	-1.8ppt
Net Income - Recurring (GS defined)	11.2%	16.0%	-4.8ppt	-0.3%	10.1%	-10.4ppt	3.4%	5.3%	-1.9ppt
Margin / % Of Company Sales									
% of company sales									
Raw materials and consumables used	41.1%	41.8%	-0.7ppt	41.1%	41.5%	-0.4ppt	40.8%	41.0%	-0.2ppt
Staff costs	32.8%	31.8%	1.0ppt	33.8%	32.2%	1.7ppt	34.2%	32.7%	1.5ppt
Property rentals and related expenses	2.7%	2.7%	0.0ppt	2.6%	2.6%	0.0ppt	2.6%	2.5%	0.0ppt
Utilities expenses	3.4%	3.4%	0.0ppt	3.4%	3.4%	0.0ppt	3.4%	3.4%	0.0ppt
Depreciation and amortization	2.5%	2.7%	-0.2ppt	2.1%	2.4%	-0.3ppt	2.4%	2.6%	-0.2ppt
Travelling and related expenses	0.7%	0.7%	0.0ppt	0.7%	0.7%	0.0ppt	0.7%	0.7%	0.0ppt
Other expense	5.6%	5.3%	0.3ppt	5.5%	5.1%	0.3ppt	5.4%	5.0%	0.3ppt
OP Margin	11.2%	11.7%	-0.5ppt	10.7%	12.1%	-1.4ppt	10.5%	12.1%	-1.6ppt
Adj EBITDA Margin (% Of Total Revenue)	13.4%	14.0%	-0.7ppt	12.5%	14.2%	-1.7ppt	12.6%	14.4%	-1.8ppt
Effective tax rate	28.0%	29.0%	-1.0ppt	28.0%	29.0%	-1.0ppt	28.0%	29.0%	-1.0ppt
Net margin - Reported	8.8%	9.2%	-0.4ppt	8.5%	9.4%	-0.9ppt	8.4%	9.4%	-1.0ppt
Other operating metrics									
Total store count (Haidilao)	1,334	1,334	-	1,364	1,364	-	1,394	1,394	-
PRC	1,311	1,311	-	1,341	1,341	-	1,371	1,371	-
HK&Macau&TW	23	23	-	23	23	-	23	23	-

Source: Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Haidilao International Holding

We are Neutral rated on Haidilao with a 12-month target price of HK\$12.2. Our target price is based on a 9x 2026E EV/EBITDA. Key risks: 1) better-/weaker-than-expected table turn recovery; 2) faster-/slower-than-expected expansion; 3) faster/slower new businesses of other restaurant brands/FC model; 4) stronger-/weaker-than-expected cost saving/unfavorable cost inflation; 5) food safety issues.

Disclosure Appendix

Reg AC

We, Michelle Cheng, Xinyu Ruan and Molly Dai, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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Quantum

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Disclosures

The rating(s) for Haidilao International Holding is/are relative to the other companies in its/their coverage universe: Anta Sports Products, Bloks Group Ltd., Bosideng International Holdings, Chagee Holdings, Chow Tai Fook Jewellery Group, Chow Tai Seng Jewellery, Eclat Textile Co., Feng Tay Enterprises, Gourmet Master Co., Guming Holdings Ltd., Haidilao International Holding, Huali Industrial Group, Jiumaojiu, Juwei Food, Laopu Gold, Li Ning Co., Luckin Coffee Inc., Luk Fook Holdings, Makalot Industrial Co, Miniso (ADR), Miniso (H), Mixue Group, Pop Mart, Pou Sheng International Holdings, President Chain Store, Shanghai M&G, Shenzhen International Group, Stella International Holdings, Topsports Intl Holdings, Uni-President Enterprises, Xtep International Holdings, Yue Yuen Industrial, Yum China Holdings (ADR), Yum China Holdings (H)

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Goldman Sachs makes a market in the securities or derivatives thereof: Haidilao International Holding (HK\$11.62) and Old_Haidilao International Holding (HK\$17.80)

Distribution of ratings/investment banking relationships

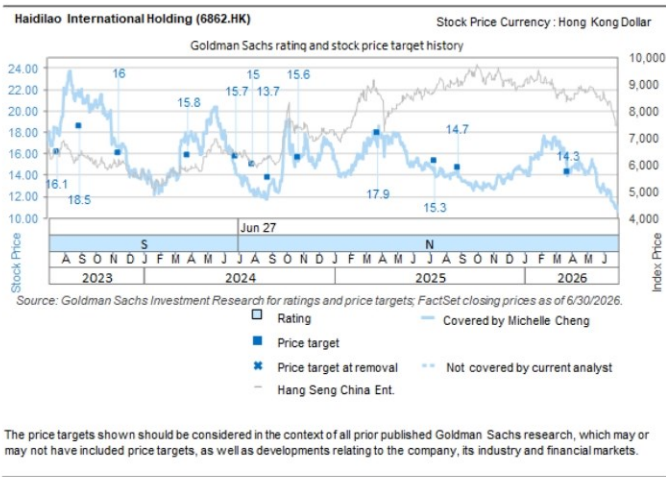
Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	59%	43%

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Price target and rating history chart(s)



Target price history table(s)
Haidilao International Holding (6862.HK)

Date of report	Target price (HK\$)	Closing price (HK\$)
25-Mar-26	14.30	14.22
26-Aug-25	14.70	14.47
14-Jul-25	15.30	14.12
26-Mar-25	17.90	17.62
25-Oct-24	15.60	15.50
28-Aug-24	13.70	12.34
29-Jul-24	15.00	12.62
27-Jun-24	15.70	14.10
27-Mar-24	15.80	16.86
14-Nov-23	16.00	16.74
30-Aug-23	18.50	21.55

Price targets shown in table(s) are unadjusted for corporate actions.

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